bank switching 101

A comphehensive guide to bank switching in 2025

by @jamesfinance

About this guide

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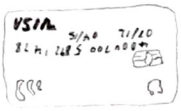

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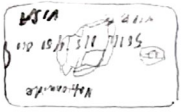
What is a ‘bank switch offer’?

A bank switch offer is a bank’s (typically a high street bank) way of incentivising you with Cash or other freebies, to hopefully move over to them with your main bank account.

This incentive remains profitable for them because new customers mean additional revenue through deposits, credit products, and transactional fees. They make a profit, even though they’re giving you sometimes up to £310 worth of freebies.

There’s no specific clause stating you need to switch your main bank account, which is why I recommend creating a burner account, which is just an additional bank account you create with the sole purpose of switching.

We’ll get more into this in this eGuide. Lenders love when you have a long-standing bank account on your credit report, which is why I’d highly recommend NEVER switching away from your longest-standing bank account!



What is a direct debit & what are easy ones to set up?

Direct debits are usually required by banks to meet eligiblity requirements, because typically a **main bank account** will have direct debits. However, some offers don't require direct debits.

A direct debit is a type of automatic payment that allows a company organisation to take money directly from your bank account regularly. Think:

- Your gym membership?
- Your phone bill?
- Your credit card bill?

These are direct debits you typically have on your main bank account, you could change the direct debit into a 'dummy' account that you use for switching!

But what if I dont have any direct debits? Or I just want to keep my current direct debits taking out of my main current account?

Here are some easy direct debits to set up:

- **Moneybox:** a savings app, top up your savings pot weekly for as little as £2. *(This money goes directly into your own savings, which you can withdraw as you please, so technically this is free)*

- **30p direct debit newsletter** (https://www.30pence.co.uk): a website that lets you pay as little as 30p via direct debit for a newletter, *(you can also do a 60p or 80p payment so multiple direct debits for switching)* This may be an easier one to do, but isn't entirely free

- **Paypal:** you can top up your paypal balance with as little as £10, whenever the first payment is taken, the direct debit is set to active, and is ready for switching, doesn't need to be recurring

Note: Before initaiting **ANY** bank switch offer that requires direct debits, ensure that the **first payments** have been taken out from the account, as direct debits **need to be active.**

Current offers (as of August 1st 2025)

Bank	Incentive	additional info	Conditions
Lloyds	n/a		
Monzo	£10	**No Switch Required** Ts&Cs apply, I may receive a commission for you using my friend link	You need to use a friend link, Heres mine: https://join.monzo.com/c/vhwscvhb Download Monzo, sign up, and make a card payment within 30 days to get £10
Halifax	n/a		
NatWest	£125 + £50	can't do RBS too as it's in the same banking group	Open a NatWest Reward or Select account. Switch in a non-NatWest/RBS/Ulster account online or via app. Pay in £1,250+ and log in to mobile banking within 60 days. Get £125 within 30 days.
Santander	n/a		
Nationwide	n/a		
Co-op Bank	n/a		
HSBC	n/a		

First direct	£175	bag additional cashback when you Initiate through a Cashback website	Open account in app (online for joint) Switch in with 2+ Direct Debits/standing orders in 45 days. Pay in £1,000+ and make 5+ debit card payments in 45 days. £175 paid by the 20th of the next month.
Barclays	£175		Open a sole account via the Barclays app. Switch in an account with 2+ Direct Debits by 28 Aug (complete within 30 days). Join Blue Rewards (£5/month, pay in £800+, register for digital banking). Deposit £1,500 within 30 days of opening. Get £175 within 28 working days if all steps are done.
TSB	£100	get £15 every month for 6 months if you make 20 debit. card transactions each month, see Ts&Cs	Open the account online, in-app or in branch. By 22 Sep, switch from another bank, make 5+ debit card purchases, and log into the app. Get £100 between 6–12 Oct.

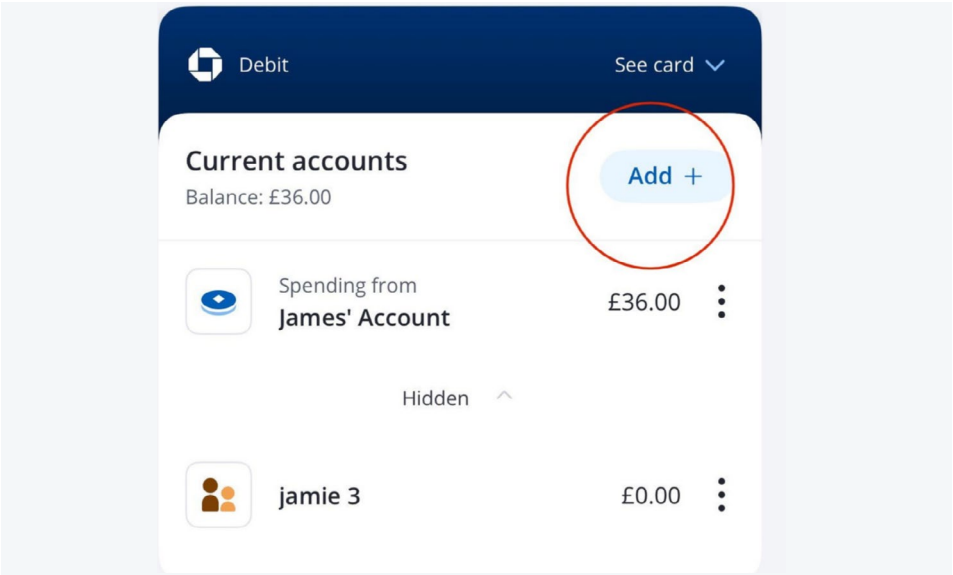
Ts&Cs Apply, go onto each banks website to find them, the terms and conditions can change at anytime, so it's super important you read these before initiating any switch

Initiate your switch from a 'dummy'

You should **never** switch your main bank account, as this has much worse Credit Score Implications. Create a 'dummy' bank account, that is only created for the sole purpose of switching bank accounts.

I've made a very in-depth video about how to do this with Chase bank. See this tiktok (https://vm.tiktok.com/ZNd92EF2v/)

You're able to create a **burner account** using Chase bank in just seconds. This is a feature unique to chase, note that you should always have at least 2 accounts open within Chase as switching away your only current account closes your Chase profile, and they don't let you reopen with Chase if you close your last remaining account with them.



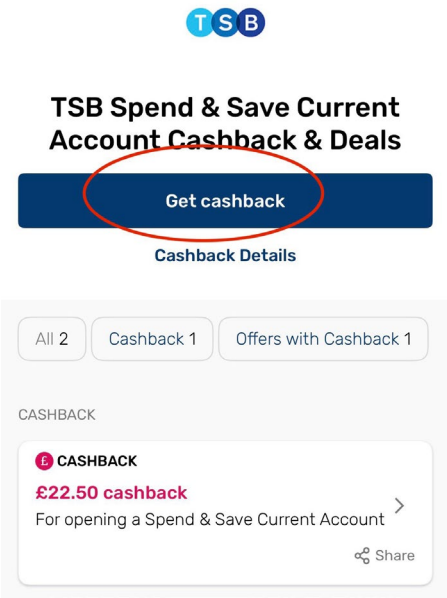
Simply just press 'Add +' to create another account, this will generate you a new sort code and account number that you can use for switching. You can input the same debit card details into each respective offer too, switching additional Chase accounts doesn't cancel your debit card with them.

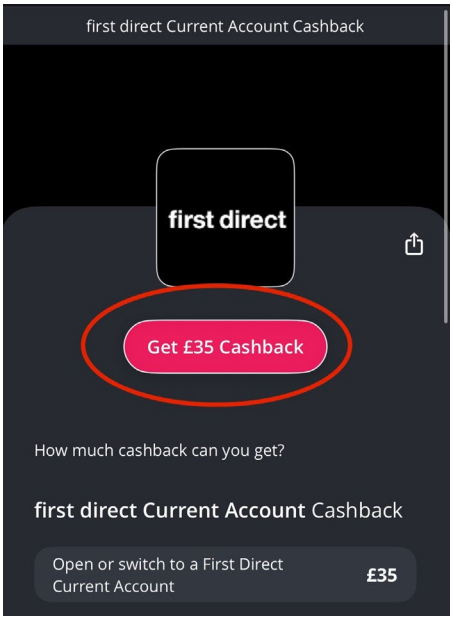
Extra incentives using cashback apps!

If you have either Quidco or TopCashback you can receive additional cashback when you initiate a switch through these apps!

Quidco & TopCashback are cashback apps that you would typically use to get money back on your online shopping. I prefer to use them to **increase my incentive** when switching bank accounts. These accounts are free and you can actually grab yourself a cash incentive for signing up using a friend link. I'm not sponsored, however I do have a friend link that I will share below, if you'd like to take advantage of that. Ts&Cs apply.

My friend links: https://quidco.com/raf/14386425/
https://www.topcashback.co.uk/ref/jamieschmidt1/





To get cashback on your bank incentive, you first have to make an account on Quidco or TopCashback, and search up the bank, then click through the app onto the banks website and start the switch there.

Make sure you have cookies and tracking enabled so that they can track your additional cashback!!!

Credit Score impact

Switching bank accounts, opening new bank accounts, and closing old bank accounts **does** have an impact on your credit score.

Do not do bank switching offers if:

- you are looking to apply for a mortgage within **2 years**

- you are looking to build your credit score to be eligible for the likes of reward credit cards (amex)... rather do bank switch offers **after** you open credit products.

- aren't able to accurately keep track of accounts and close or switch them into your main bank account once the incentive is paid.

The Credit Score impact from bank switch offers varies, i've personally completed 14 bank switch offers and 5 student account offers, and opened 3 new credit products, and 20+ banking products over the last year, my credit score is still higher than it was last year because i have been **building my credit** using credit builder cards.

Scared of credit score impact? maybe stick to 1 or 2 bank switches per year. You can typically only do **1 switch per UK banking group,** so you have time, as you're limited anyway.

Tax implications

There are no tax implications to bank switch offers. As per the official HMRC Manual (CG 13027): "In general, ordinary retail customers purchasing goods, investments or services at arm's length will not be liable to Income or Capital Gains Tax in respect of any commission, discounts or cashbacks received by them." Additionally on HMRC's online forum, an administrator explained: "Cashback payments and switching incentives are not taxable." You are liable for tax if you refer someone & personally receive a bonus for referring that person.

Currently no switch offers have a 'refer a friend' option. But if you are referring friends to monzo, that income will contribute towards your £1000 a year trading allowance. For most people you don't need to worry, & you won't need to pay any tax if you are the referee, (for example if you sign up to monzo using my friend link).

This also applies to freebies from switch offers, like taste cards, hotel credit, rail cards or gift cards. It's classed as incentive or cashback income & therefore not taxable.

FAQ

1. Can i do these bank switches again?

Typically you can only do 1 bank switch per bank or banking group, in some instances they'll let you switch back to them for an incentive reward, but only after a few years. Some have reported being able to get multiple lloyds incentives by using a different email address and phone number. I would not recommend attempting switch offers twice (unless stated otherwise in terms and conditions), as that could be seen as fraud.

2. Can i do multiple switches at one time?

Yes, if you'd like, create 2 'dummy' accounts on chase, and initiate a switch, make sure though that you have any prerequisites, like direct debits set up on switches that require it. I'd prefer to just switch one account, and then once that first switch is done to go onto the next one!

3. What do I do with the account when it's done and i have the incentive?

You can close the account, or use it to switch and get another offer, (I find this the best option because the likes of direct debits would already be set up). If you're completely done with all the switches, you can initiate a bank switch into your main current account.

4. I've been waiting 10 working days for my switch incentive and I haven't received anything???

Check with the switch offers terms as conditions as some will have a particular date that they pay you, otherwise most of these banks have a live chat and can provide you with updates on your switch & incentive progress.

Contact me!

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Note: The phone number provided should be used for bank switching or similar related enquires only. Enquire via WhatsApp only. I withhold the right to withdraw this privilege at any time. I hope to reply to you within 24 hours!.